IQ Security Fund

February 2026

Algorithmic trading

Basket 70 TF strategy

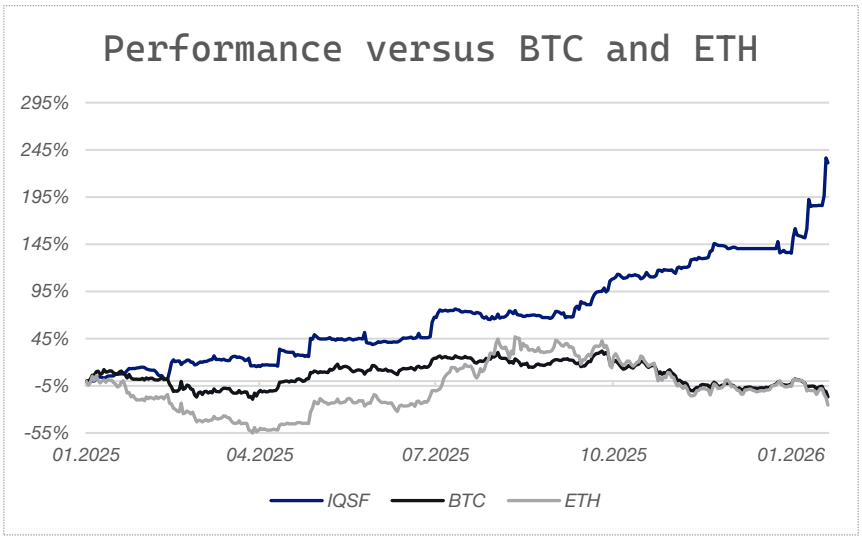
IQSF Fund's objective is to develop capital-intensive strategies.
The IQSF Basket 70 TF strategy is a portfolio of active trend-following systems primarily driven by the momentum effect, with a limited allocation to mean-reversion approaches. In contrast to other IQSF portfolios, this strategy features a higher share of pure trend-following systems that maintain positions for longer durations, extending beyond short-term momentum impulses, while volatility clustering is used to enhance trade timing and risk management.

The effectiveness of IQSF strategies is evidenced by their consistent performance over time, across different market cycles, including bull markets, bear markets and periods of sideways movement. Our track record represents our ability to generate alpha independently of general market movements.

Performance 2025-2026

Year	JAN	FEB	MAR	APR	MAY	JUN	JUL	AUG	SEP	OCT	NOV	DEC	CAGR
2025	7,62	12,66	3,03	1,21	14,08	0,61	18,63	-1,19	6,32	16,40	9,77	4,07	140,44
2026	37,79												37,79

Cumulative Return	231,29 %
CAGR	212,47 %
Expected Monthly	9,65 %
Max Drawdown	-11,25 %
Max daily Drawdown	-7,13 %
Avg. Drawdown	- 2,62%
Largest Drawdown	61 days
Volatility	40,83 %
Sharpe	5,2
Sortino	13,89
Calmar	18,89



Trading logic summary

The strategy is focused on capturing market trends primarily through momentum-driven and pure trend-following approaches, complemented by a limited use of mean-reversion techniques. It operates on highly liquid instruments and is designed to benefit from sustained price movements rather than short-term fluctuations or isolated volatility spikes. Certain trend-following components of the strategy are capable of holding positions for up to two weeks, allowing the portfolio to extract value from prolonged and well-defined market trends.

Each position is opened with a predefined and fixed risk. Losing positions are never averaged, while profitable positions may be scaled through pyramiding in line with the prevailing trend. The system is equally effective in both long and short directions, with each trade always initiated on a single side.

Strong market movements are not a source of risk for the strategy and, in most cases, represent the primary source of returns. However, IQSF maintains a prudent and disciplined approach to trade execution. Periods of extreme volatility and sharp price dislocations may deliberately result in reduced or absent trading activity. Under such conditions, the enlarged stop-loss levels required to preserve target risk-reward ratios make new entries less attractive.
Given the relative rarity of persistent, well-structured trends and the elevated probability of deep retracements before extended take-profit targets are reached, the algorithms prioritize capital preservation over forced participation. This behavior is grounded in historical analysis and reflects IQSF's long-term focus on risk control and sustainable performance.

Key parameters

Trading assets	Position holding period	Stop-losses (fixed risk)	Fully automated	Trades per month	Capacity	AUM	Indicated performance
BTC & ETH perpetual futures	< 14 days	Yes	Yes	0 - 40	$350 mln	$87 mln	gross

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Technology

Trading edge

This is not an HFT, machine learning is not used. The edge of most systems is based on the momentum effect, which is well researched and used by many top funds.

Execution module

The market entry is performed by market orders or limit orders depending on market indicators. It is possible to use the high-speed TWAP algorithm when entering a position for market orders of a large volume.

Data & Back Testing

Each component of each system was thoroughly tested many times on different markets. Each was shown to have good results in both live trading and backtesting on FORTS, Forex, commodities, and crypto over more than a decade. The system may be optimized on Binance BTC/USDT data, but it should still be profitable on data from other exchanges, as well as data of similar trading pairs. Monte Carlo simulations are also used as an auxiliary tool.

Risk management

Strategy Risk Management

- A reliable system, the main components of which remain unchanged for more than 12 years.
- Regular back testing and simulations through all kind of stress trading environments
- Live trading on crypto market with track record more than 5 years
- There is always a fixed risk per trade, the use of stop losses and take profits, which take into account the level of market volatility

Exchange Risk Management

- The ability to trade with risk on capital (not only risk on deposit)
- Robust API integration and usage of our own software
- 24/7 monitoring of the operation of systems (both automatically by the system and by a human)
- The ability to trade on different exchanges

Investment Terms

Minimum Investment	*$300,000 USD*
High Water Mark	*Yes*
Fee Structure	*2% Management Fee* *25-30% Performance Fee*
Lock-up Period	*None*
Performance fee distribution	*Quarterly*
Investment form	*SMA*
Futures Collateral tokens	*USDT / BTC / ETH* *(or any token for Portfolio Margin account)*

Exchanges

BINANCE Bitget OKX BYBIT kraken KUCOIN Bingx

*Additional exchanges will be connected over time